

● UNIT 2 · TOPIC 2.7

Prorating and Interline Agreements

One ticket, many airlines — who gets paid what?

B.B.A. Aviation Management · Semester III · Unit 2: Fare Construction Principles
Air Ticketing & Fare Construction (2ACBAM32) · Arun Kumar

AIR TICKETING ACADEMY

ADMIT ONE LEARNER

No. 2.7

CLASS

GROUP

PERIOD

PERIOD 7

DURATION

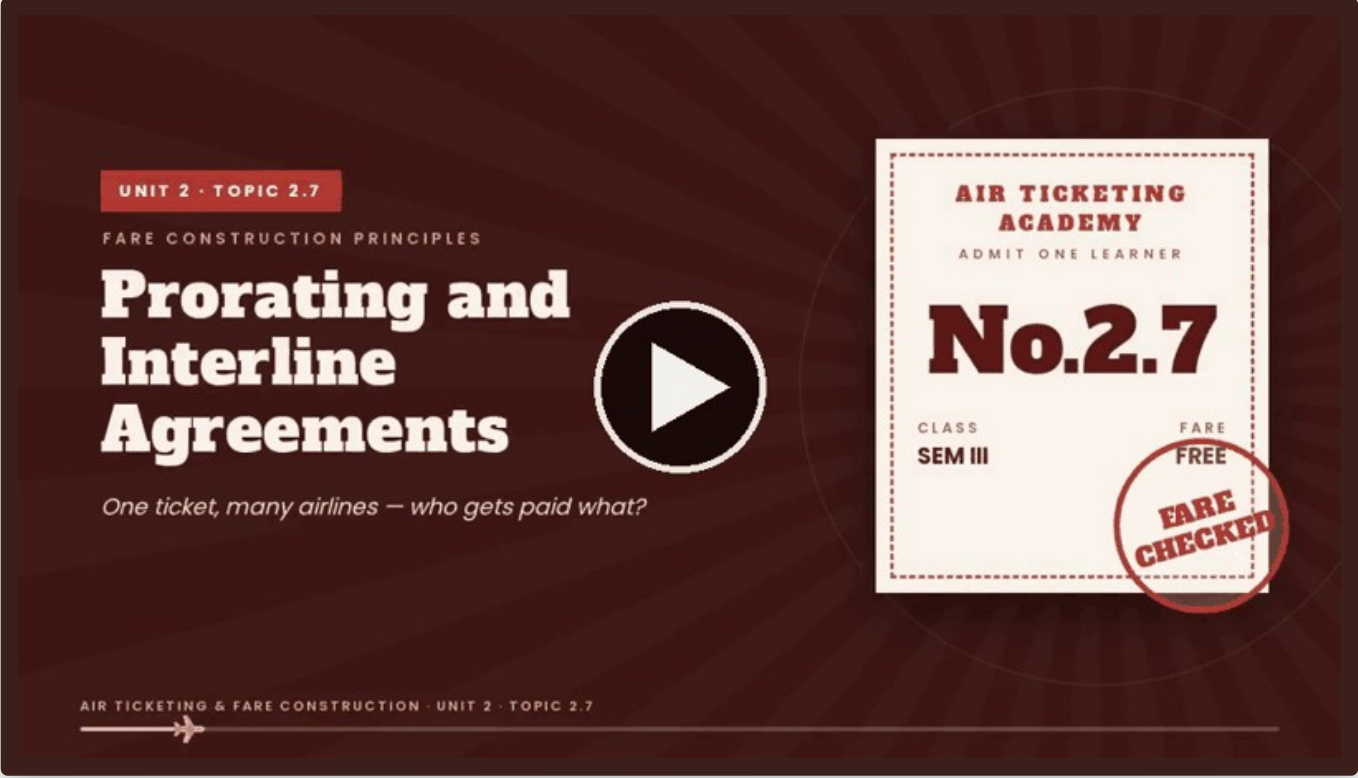
40 MIN

FARE

FREE**FARE
CHECKED**

- TOPIC 2.7

Now Showing: Topic Intro



The graphic features a dark red background with a radial pattern. On the left, a white play button icon is centered. To its right is a white rectangular box with a dashed border, resembling a ticket. The box contains the text 'AIR TICKETING ACADEMY', 'ADMIT ONE LEARNER', 'No.2.7', 'CLASS SEM III', and 'FARE FREE'. A red circular stamp with the text 'FARE CHECKED' is overlaid on the bottom right of the ticket. Below the play button, the text 'One ticket, many airlines — who gets paid what?' is written in a smaller font. At the bottom left of the graphic, the text 'AIR TICKETING & FARE CONSTRUCTION · UNIT 2 · TOPIC 2.7' is displayed with a small airplane icon.

UNIT 2 · TOPIC 2.7

FARE CONSTRUCTION PRINCIPLES

Prorating and Interline Agreements

One ticket, many airlines — who gets paid what?

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CLASS SEM III

FARE FREE

FARE CHECKED

Air Ticketing & Fare Construction · Unit 2: Fare Construction Principles · Topic 2.7

● TOPIC 2.7

The Ticket Puzzle

**THINK ABOUT IT**

Three airlines fly you on one ticket and you paid once. Who gets how much?

**THINK**

30 seconds alone

**PAIR**

1 minute with a neighbour

**SHARE**

2-3 answers with the class



● TOPIC 2.7

Your Fare Itinerary

1

2.7.1

What is prorating: how fares are split between airlines in interline agreements

2

2.7.2

Understanding interline agreements: how airlines cooperate and share fares

3

2.7.3

Prorating methodology: calculating each airline's share of the journey

4

2.7.4

Importance of interline agreements for fare construction and connecting flights

**BY THE END, YOU WILL**

- Define prorating and interlining
- Explain how interline agreements work
- Calculate a simple mileage prorate
- Assess the impact on connecting fares

Pedagogy: Group Teaching and Learning



● TOPIC 2.7.1

What Is Prorating?

**Splitting revenue**

The ticket value is divided among all airlines that carry the passenger.

**One ticket**

The passenger pays once, to the validating (ticketing) carrier.

**Settlement**

Airlines bill each other via the IATA Clearing House (ICH).

**DEFINITION**

Prorating is the division of a through fare between the carriers participating in a journey, according to agreed formulas.



● TOPIC 2.7.1

Money Flow on an Interline Ticket



• TOPIC 2.7.2

Types of Interline Agreements

**MITA**

IATA Multilateral Interline Traffic Agreement — airlines accept each other's tickets and baggage.

**Bilateral (BIA)**

Two airlines sign specific terms, e.g., special prorates or e-ticket acceptance.

**Interline E-Ticketing (IET)**

Technical agreement so partners can issue and use each other's e-tickets.

● TOPIC 2.7.2

Interline vs Codeshare



Interline

- Each airline flies under its own code
- One ticket covers multiple carriers
- Through check-in of bags
- Revenue prorated

VS

Codeshare

- Marketing carrier code on partner's flight
- Same flight, two flight numbers
- Deeper commercial cooperation
- Usually built on an interline agreement

● TOPIC 2.7.3

Straight-Rate Mileage Prorate

The simplest method: share by distance.

- Find the TPM of each carrier's sector.
- Add to get total mileage.
- Each carrier's share = its miles ÷ total miles.
- Multiply the share by the total fare.



PRORATE WORKSHEET (illustrative)

FARE BOM-FRA-JFK NUC 900

BOM-FRA	AI	4096 mi
FRA-JFK	LH	3851 mi
TOTAL		7947 mi

AI = $4096 / 7947 \times 900 = 463.88$

LH = $3851 / 7947 \times 900 = 436.12$

● TOPIC 2.7.3

Prorate Methods in Practice



Straight Mileage

Shares by distance flown — simple, used for teaching.



Prorate Factors

IATA factors adjust for cost differences (short sectors cost more per mile).



SPA

Special Prorate Agreements set fixed amounts or % between two carriers.



Provisos

Minimum amounts guaranteed to a carrier for a sector.



● TOPIC 2.7.4

Why Interline Agreements Matter

**Wider network**

Sell almost any city pair on one ticket.

**Passenger protection**

Missed connection? Partner rebooks you on a through ticket.

**Through fares**

Often cheaper than buying separate tickets.

**SEPARATE TICKETS RISK**

If a passenger buys two separate tickets and the first flight is late, the second airline has no duty to rebook. On one interline ticket, they are protected.



● TOPIC 2.7.4

Impact on Pricing (Illustrative)

₹62k

through fare on one interline ticket

₹71k

two separate tickets added together

1 PNR

one booking, bags checked through



Group task: list who wins and who loses when airlines refuse to interline.



● **TOPIC 2.7**

Ticket Office Workshop: Airline Revenue Split



PEDAGOGY

Group Teaching and Learning

TIME · 10 min

FORMAT · Groups of 3 (one per “airline”)

1

Each group gets a 3-sector itinerary with TPMs and a total fare.

2

Each member represents one airline and calculates its mileage share.

3

Check the shares add up to the total fare.

4

Discuss: which airline would want an SPA, and why?



● TOPIC 2.7

Click to reveal each answer

Fare Check Quiz

Q1**Dividing a through fare between carriers is called...**

- A) Codesharing
- B) Prorating
- C) Voiding
- D) Nesting

ANSWER**B****Q2****MITA is an IATA...**

- A) Tax
- B) Interline agreement
- C) GDS
- D) Fare type

ANSWER**B****Q3****Airlines settle interline amounts via...**

- A) BSP only
- B) IATA Clearing House
- C) DGCA
- D) ATPCO

ANSWER**B****Q4****Carrier A flies 600 of 1,000 miles on a NUC 500 fare. Straight-rate share?**

- A) NUC 200
- B) NUC 250
- C) NUC 300
- D) NUC 600

ANSWER**C**

TICKET STAMPED

Key Takeaways

- ✓ Prorating splits one fare between the carriers that fly it
- ✓ Interline agreements (MITA, BIA, IET) make one-ticket journeys possible
- ✓ Straight-rate share = $\text{sector miles} \div \text{total miles} \times \text{fare}$
- ✓ Interlining protects passengers and enables through fares

EXIT TICKET Write 1 thing you learned today + 1 question you still have.

NEXT TICKET

Topic 2.8 — Round-the-World Fares

Thank you · Questions?